



Life Assurance Sector Report

for the Half-Year Ended 30 June 2023



Email: enquiry@ipec.co.zw Website: www.ipec.co.zw

Disclaimer

- i. This Report, including enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC) solely for informative purposes to the insurance sector stakeholders, and may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent.
- ii. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to Life Assurance and Reassurance business written by Life Assurers and Reassurers.
- iv. Please Note: All Monetary Figures are in ZW\$ except stated otherwise.
- v. All ZW\$ amounts are expressed in nominal terms, except where specifically stated to be in real terms.
- vi. Income statement figures were adjusted using year- on –year inflation of 175.75% reported for June 2023. Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>

Table of Contents

Abbreviations	5
SECTION A	6
1. Executive Summary	7
SECTION B	10
2 The Insurance and Pensions Commission at a Glance	11
3 Terms of Reference	11
4 Regulatory Developments	11
SECTION C	13
5 Economic Overview	14
SECTION D	15
6 Life Assurance Sector Architecture	16
7 Performance in Terms of Gross Premium Written	16
8 Reassurance	18
9 Market Share	19
10 Asset Quality	20
11 Liquidity	20
16 Capitalisation	22
17 Prescribed Assets	22
SECTION E	23
18 Nature of the Reassurance Business	24
19 Performance in terms of Business Written	24
20 Asset Quality	24
21 Liquidity	25
22 Earnings	25
23 Market Share	25
24 Capitalisation	27
25 Prescribed Assets	27
SECTION F	28
26 Complaints	29
27 ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION	
FINANCING	31
28 Conclusion	32

List of Tables

Table 1: Summary of Key Financial Indicators for Life Assurers	8
Table 2: Summary of Key Financial Indicators for Life Reassurers	9
Table 3: Statutory Instruments and Circulars issued in 2023	11
Table 4: Distribution of Life Agents for Life Assurers	16
Table 5: Gross Premium Written Per Company (ZW\$000)	17
Table 6: Not Taken Up Policies	21
Table 7: Lapse Ratios for the Half-Year Ended 30 June 2023	22
Table 8: Breakdown of GPW for Reassurers	24
Table 9: Capital Position for Composite Reassurers	27
Table 10: Prescribed Assets Ratios for Reassurance Sector Players	27
Table 11: Resolved and Pending Complaints	29

Table of Figures

Figure 1: Inflation Profile (%) June 2021 to June 2023	14
Figure 2: Distribution of Gross Premium Written (GPW) by Product Line	17
Figure 3 : Business Composition for Life Assurers	18
Figure 4: Market Share in terms of GPW	19
Figure 5: Market Share by Assets	19
Figure 6: Assets Breakdown as at 30 June 2023	20
Figure 7: Market Share by USD GPW	21
Figure 8: Market Share by Gross Premium Written	26
Figure 9: Market Share Distribution in Terms of Total Assets	26
Figure 10: Source of Complaints	29
Figure 11: Complaints Received by Life Company	30

Abbreviations

IPEC	Insurance and Pensions Commission
GPW	Gross Premium Written
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act (Chapter 24:07)
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



SECTION A

EXECUTIVE SUMMARY



1. Executive Summary

- 1.1 The Life Assurance Sector was made up of 12 direct Life Assurance companies, four (4) Life Reassurance companies and 1,425 life agents.
- 1.2 Out of the 12 registered Life Assurance companies, one company, Heritage Life Assurance Company failed to submit its return for the period under review.
- 1.3 The sector reported a Gross Premium Written (GPW) of ZW\$119.7 billion, a nominal increase of 550% from ZW\$18.5 billion reported for the half-year of 2022. The sector experienced inflation- adjusted growth in GPW of 175.8%.
- 1.4 Growth in GPW was mainly attributable to premium adjustments in line with rising inflation and new business though on a small scale as the ratio of new business to the total premiums collected is only 7.04%. Recurring premiums and new business written increased in nominal terms by 463% and 558%, respectively as compared to the same period in 2022.
- 1.5 The two products, which contributed to the significant increase are Funeral Assurance and Group Life Assurance business.
- 1.6 GPW for life reassurers grew from ZW\$595 million reported for the half-year to 30 June 2022 to ZW\$9 billion as at 30 June 2023.
- 1.7 The life assurance sector reported foreign currency business amounting to US\$23 million, which translates to a growth of 155.6% from the US\$9 million reported in the second quarter of 2022. The funeral assurance business was the major contributor with Nyaradzo Life Assurance Company writing 40% of the business in foreign currency.
- 1.8 The Life Reassurance sector reported foreign currency business amounting to US\$1.7 million for the period ended 30 June 2023.
- 1.9 All the 11 Life Assurance companies, which submitted their returns and all four (4) Life Reassurance companies, reported capital positions that were compliant with the prescribed Minimum Capital Requirements (MCR) of ZW\$75 million and ZW\$112.5 million under SI 95 of 2017, respectively, as at 30 June 2023. However, we are awaiting gazetting of new minimum capital requirements and all entities are expected to meet the new regulatory MCR requirements and as well as have systems in place to comply with the risk-based solvency regime under the ZICARP framework.
- 1.10 Direct Life Assurers reported a 401.21% nominal growth in total assets from ZW\$450.9 billion as at 31

March 2022 to ZW\$2.3 trillion as at 30 June 2023. The growth was mainly driven by revaluation gains from investment properties.

- 1.11 The asset base for Life Reassurers increased by 514% from ZW\$7 billion as at 31 March 2023 to ZW\$43 billion as at 30 June 2023. The increase in total assets was mainly on account of revaluation gains.
- 1.12 The average prescribed assets compliance ratio for Life Assurers and Life Reassurers stood at 9.27% and 3.48% as at 30 June 2023, respectively. Only four direct Life Assurers and one Life Reassurers were compliant with the minimum prescribed threshold of 15% as at 30 June 2023.
- 1.13 Insurers are required to consider all the instruments in the market that have been accorded prescribed asset status to ensure that compliance is met.
- 1.14 Profit after tax for the Life Assurers increased to ZW\$984.4 billion from ZW\$38.5 billion reported in the second quarter of 2022.
- 1.15 Inflation adjusted profit after tax for Life Assurers increased by 828% from ZW\$38.5 billion to ZW\$357 billion for the period under review.
- 1.16 Profit after tax for Life Reassurers increased by 195% from ZW\$582.3 million reported for the quarter ended 30 June 2022 to ZW\$ 7.6 trillion as at 30 June 2023.
- 1.17 Inflation adjusted profit after tax for Life Reassurers increased by 377% from ZW\$582.3 million to ZW\$2.8 billion for the period under review.
- 1.18 The increase in profit after tax for Life Assurers was mainly driven by high investment returns from revaluation gains on investment properties and adjustment in premiums in line with inflation. During the quarter under review, the actual claims paid only accounted for 29% of the net premium written, which also contributed to the increase in profit after tax.
- 1.19 Table 1 and 2 below highlights the key financial indicators for the life assurance and reinsurance companies.

Table 1: Summary of Key Financial Indicators for Life Assurers

	Life Assurance				
Key Performance Indicator	Jun-22	Jun-23	Change	Jun 2023 Inflation Adjusted	Change - Inflation Adjusted
Total GWP (ZW\$000)	18,409,326	119,737,155	550.42%	43,422,070	135.87%
Total Gross Claims (ZW\$000)	30,330,153	33,556,482	10.64%	12,169,088	-59.88%
Management, Operating and Administration Expenses (ZW\$000)	3,011,545	52,961,942	1658.63%	19,206,379	537.76%
Commissions (ZW\$000)	956,968	9,095,404	850.44%	3,298,402	244.67%
Total Costs (ZW\$000)	34,298,666	95,613,828	178.77%	34,673,869	1.09%
Profit After tax (ZW\$000)	38,473,624	984,400,030	2458.64%	356,987,665	827.88%
	Mar-23	Jun-23	Change		
Total Assets (ZW\$000)	450,888,775	2,259,915,492	401.21%		
Total Liabilities (ZW\$000)	243,755,239	1,081,461,289	343.67%		
Current Assets (ZW\$000)	37,817,920	147,900,947	291.09%		
Current Liabilities (ZW\$000)	34,720,560	97,617,601	181.15%		

Capital (Net Assets-ZW\$000)	207,133,536	1,178,454,204	468.93%		
Capital to liability Ratio	84.98%	108.97%	28.23%		
Prescribed Assets (ZW\$000)	37,636,950	209,522,255	456.69%		
Prescribed Asset Ratio	8.35%	9.27%	11.07%		

Table 2: Summary of Key Financial Indicators for Life Reassurers

	Life Reassurers				
Key Performance Indicator	Jun-22	Jun-23	Change	Jun-22 Inflation Adjusted	Change - Inflation Adjusted
Total GWP (ZW\$000)	595,318	9,139,042	1435.15%	3,313,648	456.62%
Total Gross Claims (ZW\$000)	181,528	1,435,368	690.71%	520,438	186.70%
Operating and Administration Expenses (ZW\$000)	77,228	1,754,923	2172.38%	636,303	723.92%
Commissions (ZW\$000)	107,324	1,614,309	1404.14%	585,319	445.37%
Total Costs (ZW\$000)	399,852	4,804,600	1101.59%	1,742,059	335.68%
Profit After tax (ZW\$000)	199,106	7,653,955	3744.16%	2,775,183	1293.82%
Ratio Analysis	Jun-22	Jun-23	Change		
Commission Ratio	20.43%	20.66%	1.13%		
Expense Ratio	14.70%	24.24%	52.79%		
Claims Ratio	34.55%	18.37%	-46.78%		
Combined Ratio	69.68%	63.28%	-11.73%		
	Mar-23	Jun-23	Change		
Total Assets (ZW\$000)	7,212,050	43,529,344	503.56%		
Total Liabilities (ZW\$000)	5,078,661	3,656,809	-28.00%		
Current Assets (ZW\$000)	3,624,412	13,648,735	276.58%		
Current Liabilities (ZW\$000)	326,511	781,461	139.34%		
Capital (Net Assets-ZW\$000)	5,729,119	39,872,535	595.96%		
Capital to liability Ratio	112.81%	1090.36%	866.57%		
Prescribed Assets (ZW\$000)	1,153,004	1,514,580	31.36%		
Prescribed Asset Ratio	15.99%	3.48%	-78.24%		



SECTION B

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission at a Glance

- 2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This report outlines industry developments and IPEC's various activities in the life insurance sector, consistent with its statutory mandate for the half-year period.

3 Terms of Reference

- 3.1 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Fund Act [Chapter 24:32]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

4 Regulatory Developments

- 4.1 Circulars and Statutory Instruments

The Commission issued Statutory Instruments and Circulars to the Insurance Industry during 2023 as shown below.

Table 3: Statutory Instruments and Circulars issued in 2023

Statutory (S.I)	Instrument	Date Gazetted	Purpose
S.I. 103 of 2023		09/06/2023	Insurance and Pensions Commission (Levy) Regulations, 2023 – New US\$-Indexed Levies.
S.I. 104 of 2023		09/06/2023	Insurance (Amendment) Regulations, 2023 (No. 26) – New US\$-Indexed Fees.
Circular		Date of Issue	Purpose
Circular 3 of 2023		15/02/2023	Request for information on registered agents.
Circular 7 of 2023		16/04/2023	Amendments to the Directive on System of Governance and Risk Management for Insurance Companies.

Circular 9 of 2023	09/03/2023	Quarterly returns additional reporting requirements – submission of a US\$ return, absolute ZW\$ return and a combination of the two returns denominated in ZW\$.
Circular 11 of 2023	16/03/2023	Guideline for Regulation of Offshore Investments.
Circular 13 of 2023	16/05/2023	IFRS 17 Quarterly Return Template.
Circular 17 of 2023	29/06/2023	Replacement of Circular 6 of 2016 on the Product Approval Framework and Premium Review Process.
Circular 18 of 2023	14/06/2023	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2023 and Insurance (Amendment) Regulations, 2023.
Circular 19 of 2023	23/06/2023	IFRS 17 Dry Run Financials as at 31 December 2022.
Circular 20 of 2023	27/06/2023	Separation of Pensions and Life Business.

4.2 IFRS 17

- 4.2.1 The Commission advised the industry that IFRS 17 became effective on the 1st of January 2023. It was observed that industry was not ready for the new standard and deferred the reporting date to June 2023.
- 4.2.2 The Commission expected all the industry players to submit IFRS 17 compliant returns in Q2 of 2023, however not all players managed to file their returns according to the new standard.
- 4.2.3 All non-compliant entities are still required to submit their Q2/2023 IFRS 17 returns before the next quarter.
- 4.2.4 The industry is urged to take the IFRS 17 Standard seriously and deploy the required resources to ensure that their financial statements are compliant.



SECTION C

ECONOMIC ENVIRONMENT

5 Economic Overview

5.1 Global and Regional Economic Outlook

The IMF projects global economic growth of 2.8% in 2023, which is lower than previously projected due to the developed world's adverse economic conditions as a result of geopolitical tensions, elevated debt levels, and the impact of tight monetary policies. The advanced economies are expected to grow by 1.3%, with the United States growing by 1.6%, the United Kingdom (0.3%), and the European Union (0.8%), while China and India are expected to grow by 5.2% and 5.9%, respectively.

5.2 Domestic Economic Outlook

With respect to the domestic economy, growth is now projected at 5.3% in 2023. ZIMSTAT estimates economic growth during the first quarter of 2023 at 6.2% and 6.5% for the year 2022. Such growth rates put Zimbabwe among the fastest growing economies in Africa.

5.3 Inflation Developments

Weighted annual inflation was generally slowing throughout the year until May 2023, when prices increased significantly in June to 175.8%. However, prices have begun to fall, with month-on-month inflation for July standing at -15.3%, while year-on-year growth has slowed to 101.3%.

Inflation is expected to slow further in response to a slew of measures implemented by the government in May and June 2023 to instil confidence, boost demand for the local currency, and promote market discipline.

Figure 1: Inflation Profile (%) June 2021 to June 2023



Source: RBZ

5.4 Stock Market Development

The Zimbabwe Stock Exchange (ZSE) was characterised by high speculative tendencies during the first half of 2023, as investors sought safe haven in some selected stocks with strong balance sheets, in line with limited investment options on the money market. As a result, all of the major indices gained, with ZSE's All-Share, Top 10, Medium-Cap, and Small-Cap indices gaining 779.30%, 655.69%, 1 090.87%, and 322.81%, respectively, to close at 171 408.90 points, 93 034.57 points, 436 363.92 points, and 1 911 327.14 points, up from 19 493.85 points, 12 311.13 points, 36 642.44 points, and 452, respectively.

5.5 Victoria Falls Stock Exchange Market

During the period under review, the Victoria Falls Stock Exchange (VFEX) was characterised by bearish sentiments. As a result, the VFEX All Share index fell 30.56% in the second half of 2023, closing at 76.17 points, down from 109.69 points in December 2022. The VFEX All Share index fell 33.99% year on year, from 115.39 points in June of last year.



SECTION D

PERFORMANCE OF LIFE ASSURANCE
COMPANIES

6 Life Assurance Sector Architecture

- 6.1 As at 30 June 2023, the registered Life Assurance companies remained at 12.
- 6.2 This report is based on 11 out of the 12 direct Life Assurers, and the 4 Reassurers. Heritage Life Assurance failed to file its return for Q2/2023.
- 6.3 Life Assurers had 1,305 agents comprising both corporate and Individual life agents as shown in table below:-

Table 4: Distribution of Life Agents for Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE: AGENTS						
Name Of Company	Corporate Agents		Sole Agents		Total	
	Mar-23	Jun-23	Mar-23	Jun-23	Mar-23	Jun-23
Zimnat Life	-	2	241	192	241	194
Old Mutual Life	-	-	146	142	146	142
Evolution Life	-	-	-	-	-	-
Doves Life	-	-	252	252	252	252
Fidelity Life	-	-	47	43	47	43
Econet Life	-	-	-	-	-	-
CBZ Life	3	3	35	35	38	38
Nhaka Life	1	1	10	8	11	9
Nyaradzo Life	11	11	319	319	330	330
ZB Life	-	-	140	77	140	77
First Mutual Life	-	-	220	220	220	220
Total	15	17	1,410	1,288	1,425	1,305

****Heritage Life failed to submit its returns for Q2 of 2023**

- 6.4 As at 30 June 2023, the number of agents for the life assurance sector declined from 1,425 reported as at 31 March 2023 to 1,305 reported as at 30 June 2023. The decrease in the number of agents is pointing to the shrinkage of life business in the market.
- 6.5 The industry is facing challenges in generating new life business and the Commission is engaging the industry and other key stakeholders to explore ways of revitalising the sector.

7 Performance in Terms of Gross Premium Written

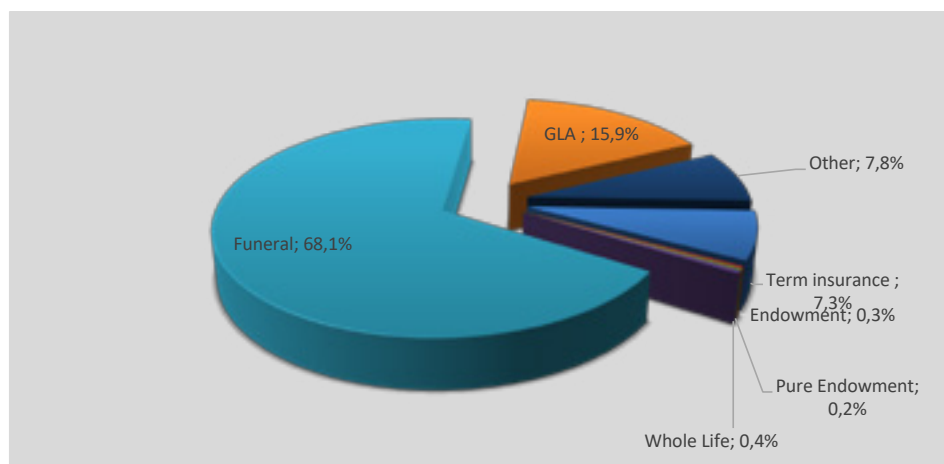
- 7.1 During the reporting period, GPW by direct Life Assurers grew by 575% in nominal terms from ZW\$18 billion recorded the same reporting period in 2022 to ZW\$120 billion during the current reporting period.
- 7.2 In real terms, GPW increased by 145%. The positive real growth is attributable to premiums adjustments in response to inflationary environment as opposed to new business. However, premiums attributable to new business are only 7% of the total written premiums.
- 7.3 Furthermore, in nominal terms, recurring premiums and new business written increased by 558% and 463%, respectively, from the figures reported in the second quarter of 2022.
- 7.4 The two main products driving the growth of GPW were the Funeral Assurance and Group Life Assurance business, which constituted 84% of the total premiums. Table 5 below shows the Gross Premium Written per company.

Table 5: Gross Premium Written Per Company (ZW\$000)

Name of Company	Jun-22	Jun-23	Jun-2023 Inflation Adjusted	Change Inflation Adjusted	Nominal Change
Zimnat Life	974,990	8,253,834	2,993,211	207%	747%
Old Mutual Life	1,134,041	7,366,240	2,671,330	136%	550%
Evolution Life	24,259	294,152	106,673	340%	1113%
Doves Life	2,352,484	14,292,781	5,183,204	120%	508%
Fidelity Life	582,574	6,785,999	2,460,908	322%	1065%
Econet Life	1,421,888	6,529,682	2,367,956	67%	359%
CBZ Life	483,162	4,743,741	1,720,294	256%	882%
Nhaka Life	655,533	2,980,136	1,080,731	65%	355%
Nyaradzo Life	8,433,387	54,457,265	19,748,650	134%	546%
ZB Life	544,798	5,412,199	1,962,707	260%	893%
Name of Company	Jun-22	Jun-23	Jun-2023 Inflation Adjusted	Change Inflation Adjusted	Nominal Change
TOTAL	17,734,503	119,737,155	43,422,070	145%	575%

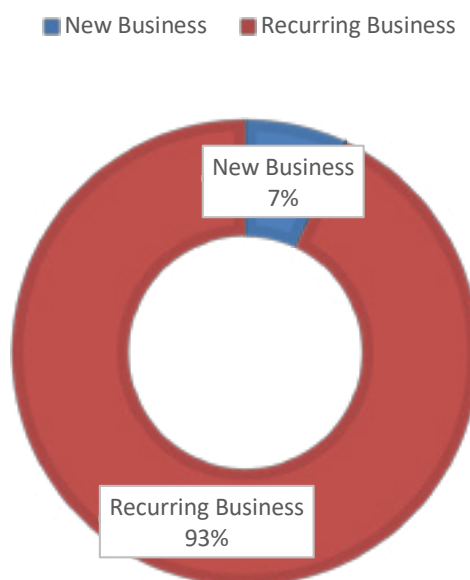
Breakdown of GPW by Product

7.5 The figure below shows the distribution of Gross Premium Written by product line.

Figure 2: Distribution of Gross Premium Written (GPW) by Product Line

- 7.6 In terms of business composition, 68.1% of the total GPW was generated from the Funeral Assurance premiums, which has become the backbone of the life insurance business.
- 7.7 Traditional life insurance products, which include term assurance, endowment policies, pure endowment and whole life, accounted for only 8.2% of business written by Life Assurers, majority of which are legacy products.
- 7.8 Legacy products are dying in the market as policyholders are reluctant to take up more products of such nature. The Commission is working closely with the industry through the Life Offices Association and the Government to find ways of reviving the sector.
- 7.9 The Commission has a draft Guideline on product relevance, which is currently receiving input from the industry.
- 7.10 Long-term business remains key in mobilising funds for long-term investments, which is critical for financing national projects, including infrastructure development in the country.
- 7.11 Uptake of insurance products continues to be depressed as noted by the distribution of business with recurring business contributing about 93% of the GPW for Life Assurance Sector with only 7% attributable to new business. The figure below shows the distribution of business by source.

Figure 3 : Business Composition for Life Assurers



7.12 The composition of new business declined from 8% to 7% between June 2022 and June 2023. This reflects the challenges facing the industry due to the tough operating environment that prevailed during the period under review. Policyholders are rather maintaining their policies.

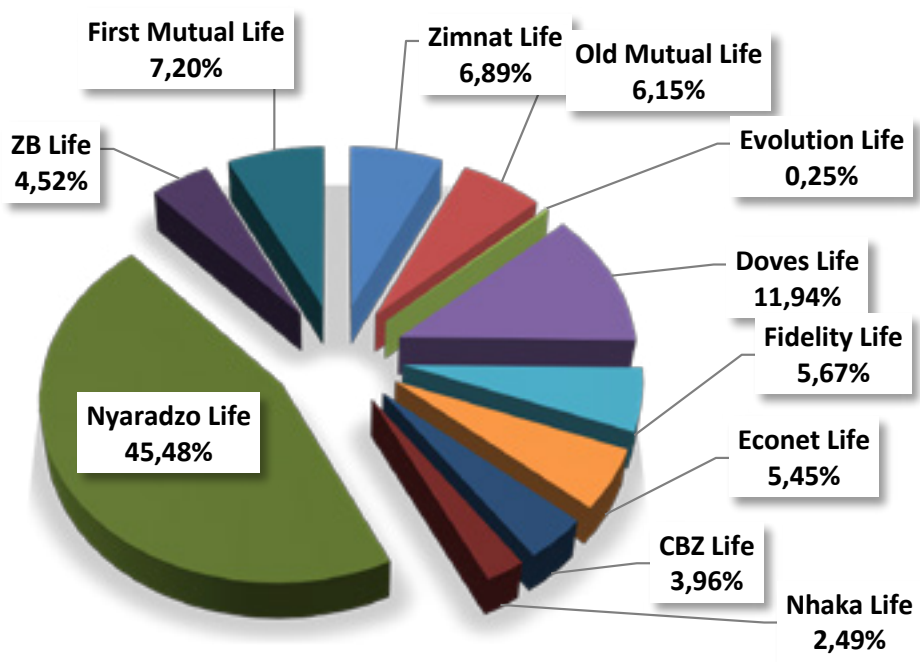
8 Reassurance

- 8.1 Of the ZW\$119 billion, GPW written by direct Life Assurers during the period under review, only ZW\$3 billion was ceded to reinsurers, translating to a reinsurance ratio of 3%. The biggest underwriter of life business has no reinsurance arrangements in place since the entity is predominantly writing funeral business.
- 8.2 The reinsurance ratio for the Life Assurance Sector remains low and as a safety measure, the Commission reiterates the need for industry players to fully embrace reinsurance as a risk management tool that plays a critical role in protecting their balance sheets.
- 8.3 Reinsurance is a safety net and also important in cushioning the balance sheet during periods of high claims experience.

9 Market Share

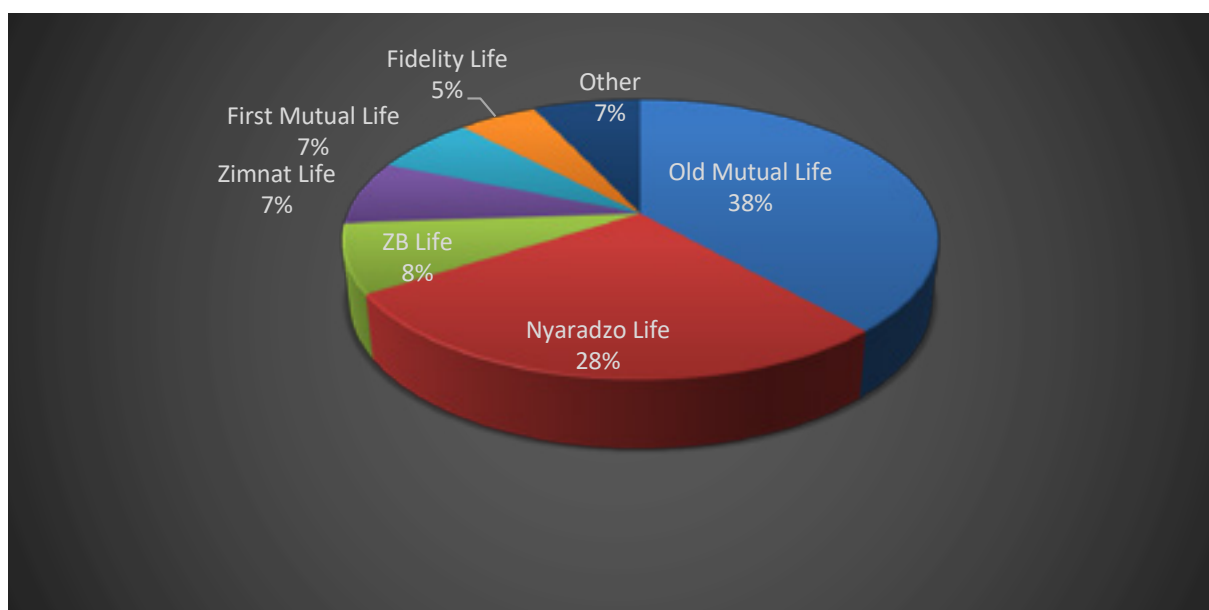
- 9.1 Nyaradzo Life Assurance Company continued to dominate the sector with a market share of 45.5% in terms of GPW.
- 9.2 Entities whose main business portfolio is Funeral Assurance continued to dominate the market, reflecting the dominance of the funeral assurance business in the life assurance sector. Funeral business has become the cash cow of most life assurance companies ahead of other products.
- 9.3 The figure below shows the market share distribution for the Life Assurance Sector in terms of GPW:

Figure 4: Market Share in terms of GPW



- 9.4 In terms of assets distribution, Old Mutual and Nyaradzo Life dominated the sector with their combined share reaching almost two-thirds (66%) of total sector assets.
- 9.5 The figure below shows the distribution of assets by entity.

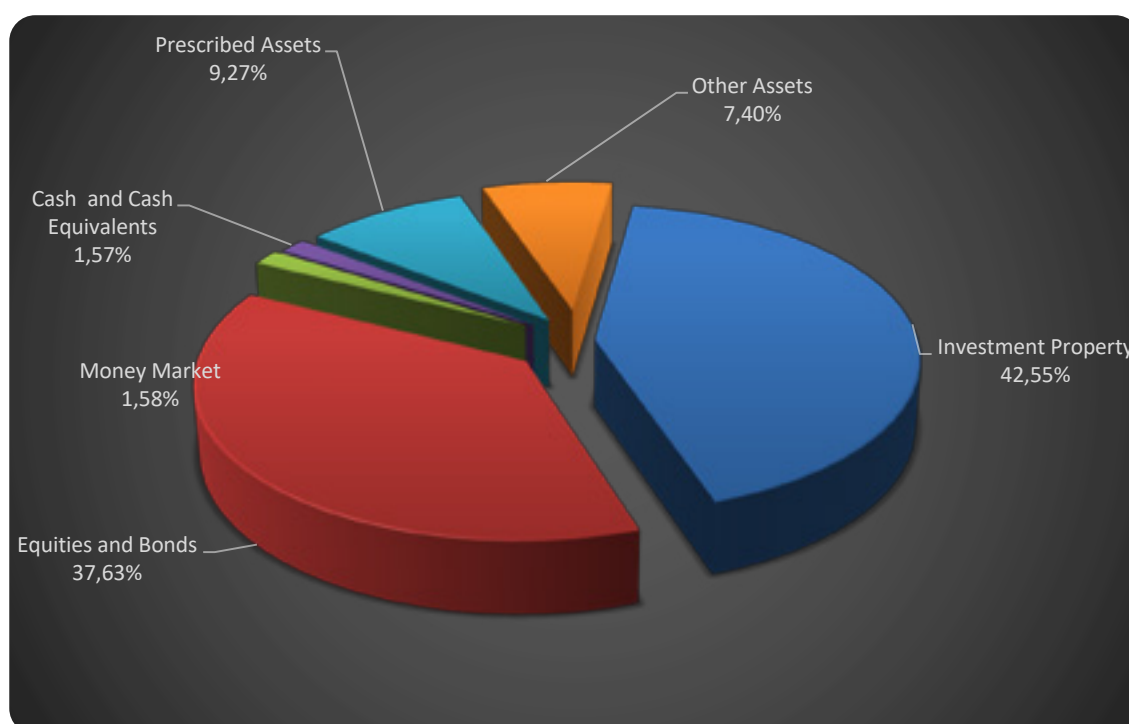
Figure 5: Market Share by Assets



10 Asset Quality

- 10.1 As at 30 June 2023, the life assurance sector reported total assets amounting to ZW\$2.3 trillion in nominal terms, representing an increase of 401.2% from ZW\$451 billion as at 31 March 2023.
- 10.2 The nominal growth in the sector's assets was mainly driven by investment property revaluations in line with inflation.
- 10.3 The proper valuation of properties depends on demand and the level of income being collected from the same in the form of rentals. However, due to the low occupancy levels, the true value of properties could be depressed.
- 10.4 Investment Property and Equity constituted 80% of total assets for Life Assurers, a reflection of the general long-term nature of liabilities for the sector.
- 10.5 Matching of assets and liabilities within the life assurance sector remains key and the industry is expected to hold assets that reflect their liabilities from time to time.
- 10.6 The figure below, shows the asset breakdown for the Life Assurance Sector as at 30 June 2023.

Figure 6: Assets Breakdown as at 30 June 2023



11 Liquidity

- 11.1 The Life Insurance sector reported a total of ZW\$147 billion in current assets compared to ZW\$38 billion in the same period last year with a current ratio of 152%. This indicated sufficient near cash assets to cover short-term contractual obligations and other current liabilities.

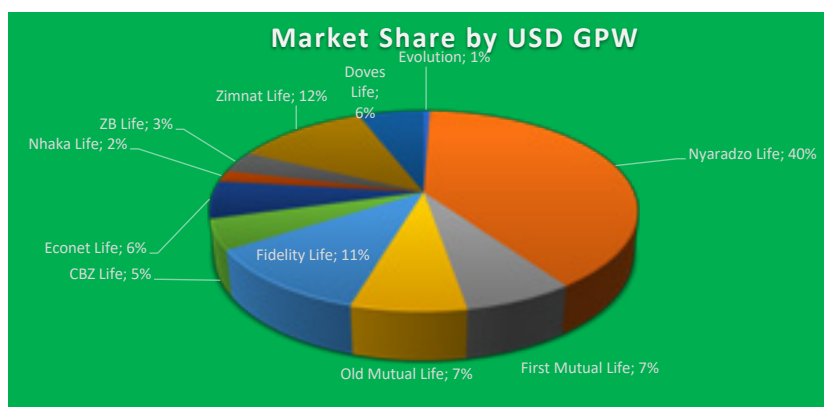
12 Earnings

- 12.1 In nominal terms, total profit after tax for Life Assurers increased from ZW\$38 billion for the quarter ended 30 June 2022 to ZW\$984 billion for the quarter ended 30 June 2023. The major driver for this metric is revaluation gains.
- 12.2 The combined ratio for the Life Assurance Sector decreased from 88% for the quarter ended 31 March 2022 to 84% as at 30 June 2023 indicating an increase in the underwriting margin.
- 12.3 Expenses management and good underwriting skills remains key in ensuring profitability for the sector, accordingly, all players are encouraged to continuously monitor their expenses to ensure that they are running sustainable businesses.

13 Life Assurance Forex business

- 13.1 The Life Assurance sector wrote foreign currency business amounting to US\$23.39 million as at 30 June 2023, an increase of 532% from the US\$3.7 million reported in the same period in 2022.
- 13.2 The sector's forex business generated as at 30 June 2023 of USD23.39 million represented an increase of 123% from the level of USD10.5 million attained in the first quarter of 2023.
- 13.3 Growth in forex business is being driven by the uptake of US\$ products, which are stable in terms of pricing as they are not subject to frequent premium reviews.
- 13.4 The breakdown of the foreign currency business written by the Life Assurance sector per company is shown in the figure below:

Figure 7: Market Share by USD GPW



- 13.5 Nyaradzo commanded 40% of the market share showing the predominance of funeral products relative to other life products offered in the market.
- 13.6 Premiums collected in US\$ were mainly invested on the Victoria Falls Stock Exchange and Money Market.

14 Not Taken Up Policies for the Half Year Ended 30 June 2023

- 14.1 For the half year period ended 30 June 2023, the Life Assurance Sector reported a total of 766,456 not taken up (NTU) policies with a total nominal gross premium of ZW\$6.7 billion.
- 14.2 Not taken up policies refer to insurance policies that have been offered to potential customers but were not taken up. This can happen for various reasons, such as policy not meeting the customer's needs or budget, lack of understanding about the policy, or the customer already having similar coverage from another provider.
- 14.3 The number of NTUs is an indication that policyholders can subscribe to the policies without full understanding before they pay the initial premium to the life company, thus calling for consumer engagement.

Table 6: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium ZW\$(000)
Zimnat Life	800	61,839
Old Mutual Life	225	1,414
Evolution Life	0	0
Doves Life	5,209	0
Fidelity Life	385	12,414
Econet Life	734,939	6,529,682
CBZ Life	0	0
Nhaka Life	0	0
Nyaradzo Life	0	0
ZB Life	24,857	59,710
First Mutual Life	41	10,257
Total	766,456	6,675,316

15 Lapsable Policies

- 15.1 At the beginning of the second quarter of 2023, the sector had a total of 1.7 million lapsable policies of which 176,702 policies lapsed during the same quarter, translating to a lapse ratio of about 11%.
- 15.2 The lapse ratio of 11% is greater than the lapse ratio of 8% recorded during the same period in 2022.
- 15.3 The increase in lapse rate indicates that more policyholders are failing to maintain their policies, a situation that is linked to affordability as policyholders find it hard to continue with their policies.
- 15.4 The table below shows the lapse ratio per individual entity: -

Table 7: Lapse Ratios for the Half-Year Ended 30 June 2023

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapse Ratio
Zimnat Life	53,067	3,162	0	5.96%
Old Mutual Life	83,616	3,021	0	3.61%
Evolution Life	0	0	0	N/A
Doves Life	141,780	3,397	5,952	6.59%
Fidelity Life	5,810	119	0	2.05%
Econet Life	678,960	92,514	0	13.63%
CBZ Life	32,723	2,794	0	8.54%
Nhaka Life	558	315	0	56.45%
Nyaradzo Life	570,911	42,716	16,620	10.39%
ZB Life	24,784	1,173	0	4.73%
First Mutual Life	62,802	4,919	0	7.83%
Total	1,655,011	154,130	22,572	10.68%

- 15.5 Nhaka Life and Econet life had lapse ratios of 56% and 14%, respectively, which are above the industry average.

16 Capitalisation

- 16.1 As at 30 June 2023, all the 11 Life Assurers reported capital positions that were compliant with the existing MCR of ZW\$75 million.
- 16.2 ZICARP, a risk-based solvency assessment became effective 1 January 2023. To minimise the need for regular reviews of Absolute Minimum Capital Requirements (AMCR), the AMCR under the ZICARP framework are being indexed to the US\$.
- 16.3 ZICARP requires industry players to hold capital that reflects the level of risk underwritten as opposed to one size fits all which may not be in line with the risk exposure. Entities are required to prepare for the new USD-Indexed AMCR as the industry transitions to the risk-based capital regime to avoid last-minute challenges.
- 16.4 An adequately capitalised Life Assurance sector is crucial for policyholder protection in the event that there are shocks in the economy that needs extra funds from the shareholders to settle claims.
- 16.5 Adequate capital also helps to increase policyholder confidence within the insurance industry as business is based on the going concern concept.

17 Prescribed Assets

- 17.1 For the period under review, the total investments in prescribed assets by the Life Assurance sector amounted to ZW\$209 billion, translating to a sector compliance level of 9.3%.
- 17.2 Four out of the eleven life insurers were compliant with the minimum prescribed asset ratio of 15% of adjusted assets.
- 17.3 Nhaka Life, Fidelity Life, CBZ Life and Econet Life Assurance companies reported 73.4%, 34.8%, 34.5% and 24.4% of investment in prescribed assets, respectively.
- 17.4 The Commission is constantly monitoring the uptake of prescribed assets through the submission of quarterly updates by the entities.



SECTION E

PERFORMANCE OF LIFE
REASSURANCE COMPANIES

18 Nature of the Reassurance Business

- 18.1 All Life Reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to their Life Assurance business, except for their capital positions, which comprise both life and non-life positions.
- 18.2 Figures reported under Zep-Re only relate to the company's Zimbabwe Regional Hub Office.
- 18.3 The Regional Hub Office writes business in Zimbabwe and other Southern African countries including Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of the Common Market for Eastern and Southern Africa (COMESA) and writes business in all COMESA Member States.
- 18.4 The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

19 Performance in terms of Business Written

- 19.1 The volume of Life Reassurance business written, in terms of GPW, increased by 1435% in nominal terms from ZW\$595 million reported for the period ended 30 June 2022 to ZW\$9.1 billion for the current reporting period. The inflation adjusted growth in business for the reassurance sector translated to 457% as of 30 June 2023.
- 19.2 The table below shows the breakdown in GPW per entity:

Table 8: Breakdown of GPW for Reassurers

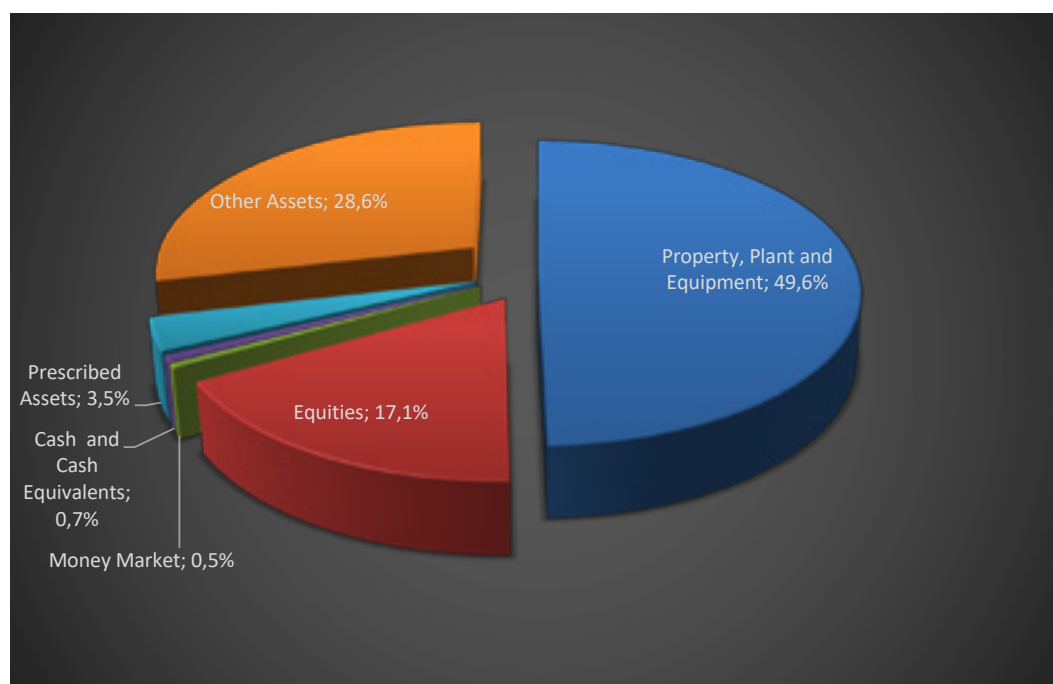
Name of Company	Jun-22	Jun-23	Jun-2023 Inflation Adjusted	Change Inflation Adjusted	Nominal Change
First Mutual Reinsurance	45,882	325,920	118,173	158%	610%
Emeritus Reinsurance	304,305	4,610,848	1,671,808	449%	1415%
FBC Reinsurance	163,109	3,797,519	1,376,910	744%	2228%
ZEP Re-insurance	82,022	404,755	146,757	79%	393%
TOTAL	595,318	9,139,042	3,313,648	457%	1435%

- 19.3 Life Reassurance companies reported foreign currency business amounting to US\$1.7 billion for the period ended 30 June 2023, an increase of 113% from US\$0.7 million reported during the 1st quarter of 2023.
- 19.4 Growth in forex business is mainly as a result of the market preferring policies denominated in US\$ which are not affected by frequent premium and cover reviews as compared to the ZW\$ policies.
- 19.5 The main income driver for forex income for Life Reassurers was Gross Premium Written.
- 19.6 The total claims paid in forex amounted to US\$386,388, which translated to the claims' ratio of 26%.

20 Asset Quality

- 20.1 Total assets for Life Reassurers increased by 504% from ZW\$7 billion as at 31 March 2023 to ZW\$43.5 billion as at 30 June 2023.
- 20.2 Investment property constituted 50% whilst other investments, which include deferred tax assets, deferred acquisition costs and unquoted equities constituted the other 50% of the total assets for life reassurers.
- 20.3 The figure below shows the spread of assets for the Life Reassurers:

Figure 9: Life Reassurers' Total Assets



**Other investments include deferred tax assets and deferred acquisition costs*

21 Liquidity

- 21.1 The Life Reassurance sector reported current assets amounting to ZW\$13.6 billion and current liabilities amounted to ZW\$ 0.78 billion, translating to working capital of ZW\$ \$12.88 billion as at 30 June 2023.
- 21.2 The Life Reassurance sector's average current ratio was 1,75% for the half- year to 30 June 2023, showing sufficient liquidity to cover short-term contractual obligations as they fall due.

22 Earnings

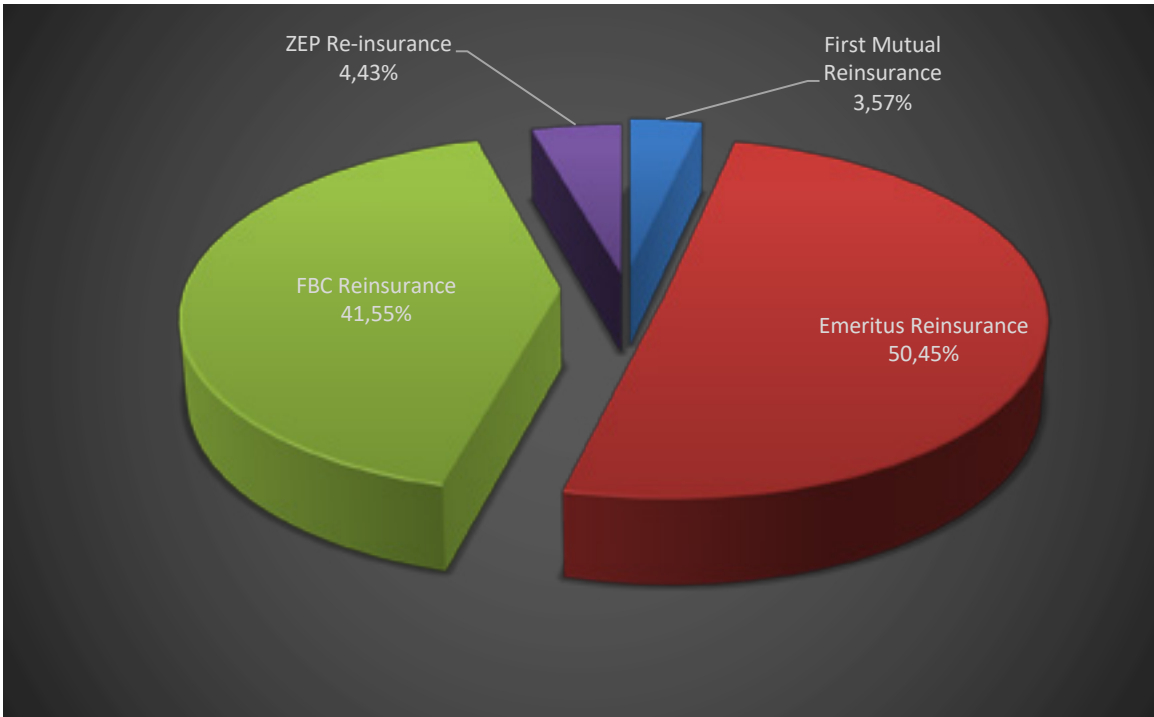
- 22.1 The Life Reassurance sector recorded profit after tax amounting to ZW\$8.3 billion as at 30 June 2023 while profit after tax for the same period in 2022 was ZW\$0.65 billion.
- 22.2 The increase in profit before tax is mainly attributable to significant increases in unrealised gains from price adjustments in assets as well as the sector's favourable underwriting results.
- 22.3 Claims paid constituted only 18.37% of the net premiums written while the expenses ratio constituted 22.46% and the commission ratio stood at 20.66%.
- 22.4 The resultant combined ratio was 63.28% with an underwriting profit of ZW\$2.53 billion. The underwriting profit was mainly driven by high premium income and fewer claims and commissions paid during the period under review.
- 22.5 The combined ratio declined from 69.68% which was recorded during the same period last year.
- 22.6 The decrease in combined ratio between June 2022 and June 2023 shows that reassurers had good experience in cost management and underwriting during the period under review.

23 Market Share

Market Share in Terms of GPW

- 23.1 GPW for the Life Reassurance sector remains concentrated in one reinsurer, Emeritus Re, controlling a market share of 50% followed by FBC Re with 42%, while the remaining two entities share the 8% of the market.
- 23.2 The breakdown of the market share of the reinsurance sector in terms of GPW is shown in the figure below:

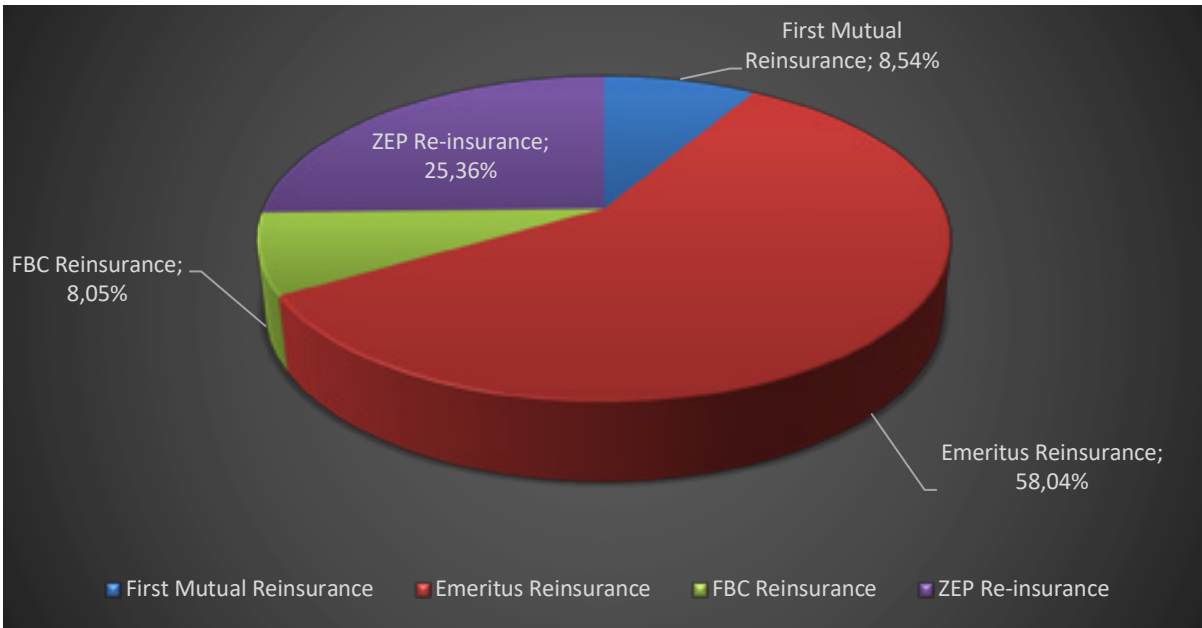
Figure 8: Market Share by Gross Premium Written



Market Share in terms of Total Assets

- 23.3 Emeritus Re has the biggest share of assets (58%) in the reinsurance sector followed by Zep Re with 25% while the remaining 17% is shared by the other two players.
- 23.4 The breakdown of market share by value of assets is shown in the Figure 11 below.

Figure 9: Market Share Distribution in Terms of Total Assets



24 Capitalisation

24.1 For the half-year ended 30 June 2023, all four Composite Reassurers were compliant with the minimum capital requirement (MCR) of ZW\$112.5 million based on their unaudited returns (see Table 11 below).

Table 9: Capital Position for Composite Reassurers

Name of Company	Jun-22 (ZW\$000)	Jun-23 (ZW\$000)
First Mutual Reinsurance	326,336	3,698,887
Emeritus Reinsurance	2,539,900	24,044,852
FBC Reinsurance	1,137,851	3,037,708
ZEP Re-insurance	481,305	9,091,088
Total	4,485,392	39,872,535

24.2 Adequate capitalisation is crucial for the resilience and protection of the underlying policyholders' contracts with direct Life Assurers.

25 Prescribed Assets

25.1 Total investments in prescribed assets by the Life Reassurance companies amounted to ZW\$1.5 billion, translating to an average compliance level of 3.5% across the sector.

25.2 All the players in the reinsurance business were not compliant with the minimum prescribed asset threshold of 15% of total assets.

Table 10: Prescribed Assets Ratios for Reassurance Sector Players

Company name	PA Investments (ZW\$000)	Total Assets (ZW\$000)	PA Ratio	Amount required to be compliant (ZW\$000)	Variance in compliance
First Mutual Reinsurance	455	3,717,339	0.01%	557,600.89	14.99%
Emeritus Reinsurance	-	25,266,004	0.00%	3,789,901	15.00%
FBC Reinsurance	-	3,505,964	0.00%	525,895	15.00%
ZEP Re-insurance	1,514,125	11,040,037	13.71%	1,656,006	1.29%
Total	1,514,580	43,529,344	3.48%	6,529,402	11.52%

25.3 The Ministry of Finance and Economic Development has accorded PA status to a number of instruments in the market and industry players are encouraged to consider instruments with PA status as investment options to meet the compliance requirement.



SECTION F

COMPLAINTS HANDLING AND
CONCLUSION

26 Complaints

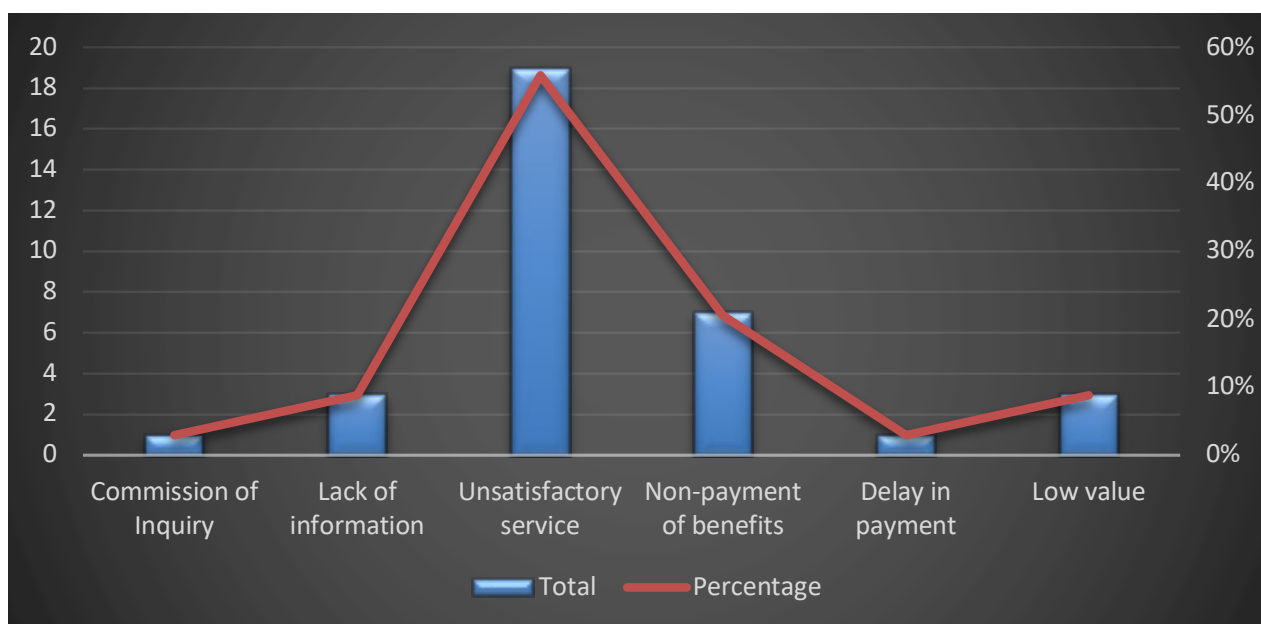
- 26.1 During half year ended 30 June 2023, the Commission received 34 life related complaints. Of the total, six complaints were related to funeral policies whilst twenty-eight complaints were associated with life business.
- 26.2 The table below shows the distribution of complaints by nature or source.

Table 11: Distribution of Complaints by Nature or Source

Nature of complaints	Life Business	Funeral	Total	%
Commission of Inquiry	1	-	1	3
Lack of information	2	1	3	9
Unsatisfactory service	15	4	19	56
Non-payment of benefits	6	1	7	21
Delay in payment	1	-	1	3
Low value	3	-	3	9
Total	28	6	34	100

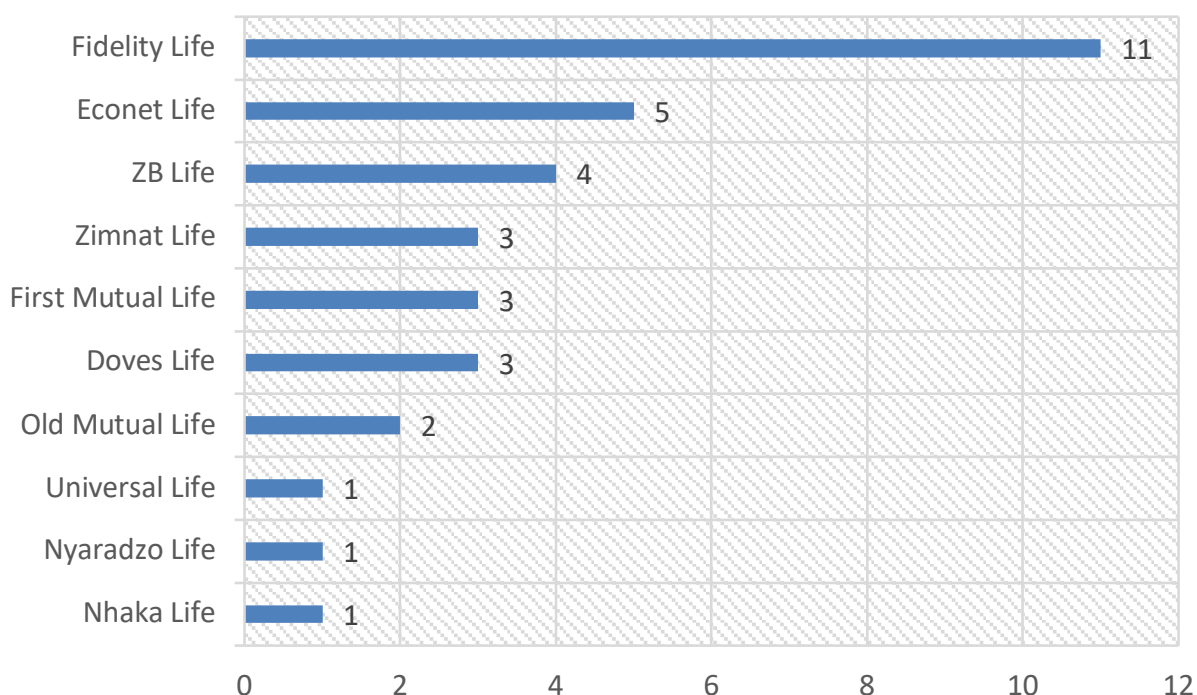
- 26.3 The major source of complaints recorded in the period under review was unsatisfactory service rendered to policy holders, which constituted 56% of the total number of complaints received. This is shown in the graph below.

Figure 10:Source of Complaints



- 26.4 Commission of Inquiry and delay in payment of benefits had one complaint each and this accounted to 3% each.
- 26.5 An analysis of the complaints received showed that Fidelity Life Assurance had highest number of complaints and this accounted for 32% as compared to complaints received by other entities.
- 26.6 The graphs below show complaints received per entity in the period under review:

Figure 11: Complaints Received by Life Company



26.7 The table below shows the resolved and pending complaints. Twenty-four complaints were resolved during the period under review whilst 10 complaints were still pending.

Table 11: Resolved and Pending Complaints

Status	Number	Proportion
Closed	24	80%
Pending	10	20%
Total	34	100%

26.8 The 20% pending were at various stages of resolution with the following being the reasons for delay in finalisation:

- Inadequate information supplied by policyholders;
- Search for details on some legacy issues by insurers;
- Referral to actuaries for revaluation;
- Verification process of beneficiaries taking longer than expect

26.9 The Commission continues to engage regulated entities to ensure that complaints raised by policyholders are resolved in as short a time as possible in line with the objective of treating customers fairly.

27 ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

Customer Due Diligence

- 27.1 The Commission requires all entities to provide quarterly self-rated updates on the effectiveness of Customer Due Diligence (CDD), Know Your Customer (KYC) and Customer Risk Assessment through AML/CFT/CPF returns as part of risk mitigation measures.
- 27.2 The following are highlights of the 2023 second quarter submissions:
- Majority of the entities self-rated their CDD/KYC procedure as satisfactory with few rated fair.
 - The Commission noted that few entities provided justification for the ratings as required.
 - For those which submitted comments, there were inconsistencies between ratings and the information submitted.
- 27.3 Going forward, all entities are reminded to support their ratings with tangible evidence which must be provided to the Commission upon request.
- 27.4 Commission has noted with concern that some entities are not conducting customer risk assessments, as indicated by nil returns on customer ML/TF risk indicators. Most entities indicate that they do not have any high-risk clients in their books, which may be an indication of poor customer due diligence procedures and processes. As part of increasing industry awareness, the Commission has provided a detailed the CDD procedure below.
- 27.5 Failure to conduct proper due diligence is an offence in terms in the Money Laundering and Proceeds of Crime Act [Chapter 9:24].

Why Customer Due Diligence?

- 27.6 Customer Due Diligence (CDD) control measures or processes are intended to ensure that the pension fund, administrator, insurer, reinsurer, broker and agent;
- know the identity of each customer and related third parties,
 - understand and obtain relevant information on the type of transactions that the customer undertakes;
 - evaluate the intended nature of the business relationship and
 - conduct ongoing monitoring on the business relationship and transactions.

Initial CDD Procedures

- 27.7 Initial CDD procedures include processes to:
- Identify and verify the identity of each customer, or persons acting on his/her behalf, before establishing a business relationship;
 - Identify the beneficial owner(s) of customers and beneficiary (if any), and take reasonable measures to verify their identity;
 - The identity of the beneficiary should be verified at the time of the payout. The beneficiary, if known, should be part of the risk factors on the basis of which the entity will determine if the relationships is higher risk and enhanced due diligence measures should be applied (e.g., in case the known beneficiary is a PEP).
 - Obtain appropriate information to understand the customer's circumstances and business, including the purpose and the expected nature of the relationship (for example for natural persons: income, wealth, profession, activity; for legal entities: financial statement).
- 27.8 The above measures enable entities to assess the overall risk of their business relationships with these customers.
- 27.9 For group life insurance policies, where the insured persons have active powers on the contract (e.g., to inject sums in the contract, establish the beneficiary, exercise early surrender of the amounts), they should be treated like other customers, and CDD must be applied, as well as on their related third parties. In cases where the insured persons have no active powers, their names have to be screened against sanctions lists, but it is not mandatory to conduct full CDD checks.
- 27.10 Entities should subject higher risk customers to more intensive (enhanced) due diligence measures and should also monitor their subsequent transactions with greater sensitivity.
- 27.11 Simplified due diligence should be applied to lower risk customers, if the relationships with those customers are considered lower risk (e.g., customers with no characteristics of ML/TF risks, who hold only lower risk products).

- 27.12 It is important to note that customer risk profiles may change, for example if a customer with only low risk products subsequently purchases a higher risk product. Entities should have processes in place to trigger more extensive due diligence in these circumstances.
- 27.13 Assessments of customer ML/TF risks should be performed using a documented, ongoing process that assigns and updates customer risk ratings. Depending on the nature and complexity of the business, customer risk ratings can be enhanced through automated solutions that automatically assigns risk scores, and to adjust the level of customer due diligence and monitoring dependent on the scoring.
- 27.14 CDD measures also apply to existing customers, and their beneficial owners, based on materiality and risk, and taking into account whether and when CDD measures have previously been undertaken and the adequacy of data obtained.
- 27.15 The various transactions or **trigger events** that occur after the insurance contract effective date indicate where due diligence should be performed, for example, claims notification, surrender requests, renewal of the policy, policy alterations, such as changes in beneficiaries, increase of assurance amounts.
- 27.16 EDD include obtaining additional information on the intended nature of the business relationship, and on the source of wealth or source of funds of the customer.
- 27.17 EDD is also required for business relationships with all foreign PEPs, domestic PEPs and international PEPs. The EDD process involves:
- Obtaining senior management approval before establishing or continuing the relationship;
 - Taking reasonable steps to establish the source of wealth and the source of funds; and
 - Conducting enhanced monitoring on the relationship.
- 27.18 In instances where higher risks are identified in relation to beneficiaries or their beneficial owners, senior management should be informed and enhanced scrutiny to be conducted on the whole business relationship with the policyholder, prior to a payout being made. This includes determining whether filing a STR is appropriate.
- 27.19 Additional controls for higher risk situations may include closer monitoring such as increased monitoring of transactions (frequency, thresholds, volumes, etc.)

Ongoing Risk Monitoring and Mitigation

- 27.20 Monitoring involves the scrutiny of activity to determine whether it is consistent with the information held relating to the customer and the nature and purpose of the business relationship. Monitoring can be manual, automated or a combination of both. It considers all products held by the customer, and also involves identifying changes to the customer risk profile (for example, the customer's behaviour, use of products and the amount of money involved) and keeping information in relation to this up to date, which may trigger the application of enhanced CDD measures.
- 27.21 Not all transactions, accounts/policies/contracts, or customers will necessarily be monitored in the same way or to the same degree. Where appropriate, entities may use automated tools to monitor transactions. Entities should define adequate thresholds or scenarios to filter out unusual transactions regarding the risk profile of a given customer.

28 Conclusion

- 28.1 The Commission directs all entities under the Life Assurance Sector to comply with all Regulatory requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis. The need to transition to IFRS 17 reporting, risk-based capital regime and timeous filing of returns cannot be over-emphasized.
- 28.2 The sector is also encouraged to be highly innovative in terms of both product development and re-alignment of their business models to adapt to the unfolding realities in the market environment.
- 28.3 The Commission underscores the need for the Life Assurance sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.
- 28.4 The Commission will continue to monitor industry quarterly submissions for improvements in ML/TF control measures being implemented considering the ML/TF risks an entity is exposed to.



SECTION G

APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE HALF YEAR ENDED 30 JUNE 2023 (ZW\$'000)												
	Zinnat Life	Old Mutual Life	Evolution Life	Doves Life	Fidelity Life	Econet Life	CBZ Life	Nhaka Life	Nyaradzo Life	ZB Life	First Mutual Life	Total
Gross Written Premiums	8,253,834	7,366,240	294,152	14,292,781	6,785,999	6,529,682	4,743,741	2,980,136	54,457,265	5,412,199	8,621,125	119,737,155
Reinsurance Premiums	1,181,716	1,001,760	2	0	186,681	273,798	285,051	14,113	0	311,197	76,282	3,330,599
Net Written Premiums	7,072,119	6,364,481	294,150	14,292,781	6,599,317	6,255,884	4,458,691	2,966,023	54,457,265	5,101,002	8,544,844	116,406,556
Increase/(Decrease) in UP	139,748	678,936	954	0	0	48,755	0	13,824	0	0	1,569,957	2,452,174
Net Earned Premiums	6,932,371	5,685,544	293,196	14,292,781	6,599,317	6,207,129	4,458,691	2,952,199	54,457,265	5,101,002	6,974,887	113,954,382
Provision for Future Claims	0	147,009,887	20,595	1,413,243	0	172,769	0	177,320	9,149,445	0	0	157,943,258
Outstanding claims	0	0	0	0	0	23,778	82,308	0	0	-132,992	0	-26,906
Paid Claims	-2,196,254	2,177,450	40,295	3,844,706	577,826	2,811,565	779,496	207,303	23,080,775	529,434	1,703,886	33,556,482
Net Claims	-2,196,254	149,187,337	60,890	5,257,949	577,826	3,008,112	861,804	384,623	32,230,220	396,442	1,703,886	191,472,835
Net Commissions and Fees	1,380,251	72,110	63,590	892,629	786,441	6,981	430,192	11,321	3,922,075	962,477	567,339	9,095,404
Technical Result	7,748,374	143,573,902	168,717	8,142,204	5,235,051	3,192,035	3,166,694	2,556,255	18,304,969	3,742,083	4,703,662	-86,613,857
Operating/Administration Expenses	4,007,537	536,653	0	1,148,688	0	0	0	89,248	20,470,848	1,602,068	0	27,855,043
Underwriting Profit/(Loss)	3,740,837	144,110,556	168,717	6,993,515	5,235,051	3,192,035	3,166,694	2,467,007	-2,165,878	2,140,015	4,703,662	-114,468,900
Management expenses	-2,338,133	0	188,377	4,175,803	2,445,628	4,519,193	3,336,904	1,925,759	3,238,882	1,602,068	6,012,418	25,106,899
Investment Income	21,088	7,523,222	0	113,583	174,246	260,033	206,667	0	480,655	269,050	423,550	9,472,094
Unrealised Gains/Losses	36,040,476	724,928,826	0	79,069	71,193,255	23,322,348	35,170,385	5,251,798	13,058,065	34,429,772	115,842,435	1,033,200,298
Other expenses	2,392,339	378,507	0	0	58,758,153	-6,318,175	0	0	0	0	0	55,210,824
Other Income	1,867,257	1,218,096	0	2,965	12,429	117,032	2,658,035	2,007,895	20,754,288	115,667,669	-2,616,901	137,672,975
Profit Before Interest and Tax	41,615,452	589,181,081	-19,661	3,013,330	15,411,200	28,690,430	37,864,877	3,785,151	2,772,118	150,904,437	112,340,328	985,558,744
Taxation	116,538	0	0	55,252	21,140	6,830	2,526	0	0	235,789	172,184	610,260
Interest Payments	358	0	0	116,196	0	307,631	124,268	0	0	0	0	548,454
Profit After Tax and Interest	41,498,556	589,181,081	-19,661	2,841,882	15,390,060	28,375,969	37,738,083	3,785,151	2,772,118	150,668,648	112,168,144	984,400,030
Other Comprehensive income	0	0	0	0	0	0	7,362,106	0	0	0	0	7,362,106
Transfer to policyholders funds	0	0	0	0	0	0	0	0	0	0	0	0
Retained Income	41,498,556	589,181,081	-19,661	2,841,882	15,390,060	28,375,969	45,100,189	3,785,151	2,772,118	150,668,648	112,168,144	991,762,136

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE 2023 (ZWS000)												
	Zimnat Life	Old Mutual Life	Evolution Life	Doves Life	Fidelity Life	Econet Life	CBZ Life	Nhaka Life	Nyaradzo Life	ZB Life	First Mutual Life	Total
ASSETS												
Non-Current Assets												
Property and Equipment	175,655	12,648,084	15,528	2,552,430	213,488	551,552	8,277,692	797,416	555,058,589	480,690	88,039	580,859,163
Investment Property	3,245,690	212,408,237	1,387,111	12,112,100	85,326,756	2,450,000	34,476,387	5,137,121	1,548,928	22,591,782	0	380,684,113
Intangible Assets	24,928	0	0	0	64,114	0	0	287	0	225,465	0	314,794
Investments in Securities	126,548,233	603,890,378	22,060,415	1,935,592	27,077,271	24,460,793	7,096,358	0	5,909,782	30,484,473	1,054,628	850,517,922
Intercompany Investments	0	0	0	0	0	0	0	0	0	0	0	0
Other Non-Current Assets	13,319,320	0	6,950	0	0	3,634,158	0	17,358,465	0	122,460,514	142,511,245	299,290,653
Total Non-Current Assets	143,313,826	828,946,699	23,470,003	16,600,122	112,681,628	31,096,504	49,850,437	23,293,289	562,517,300	176,242,924	143,653,913	2,111,666,644
Technical Assets												0
Reinsurers' Share of O/S Claims	0	0	0	0	0	2,512	0	0	0	0	0	2,512
Deferred Acquisition Cost (DAC)	0	0	0	0	0	0	345,389	0	0	0	0	345,389
Total Technical Assets	0	0	0	0	0	2,512	345,389	0	0	0	0	347,901
Current Assets												
Cash & cash equivalents	3,637,831	12,243,892	35,375	975,855	1,192,112	2,085,878	1,763,442	27,822	9,674,742	1,800,665	1,997,581	35,435,195
Money Market Investments	8,478,286	24,096,168	0	0	0	145,456	892,515	0	1,146,096	944,488	0	35,703,009
Inventory and Other Assets	11,498,995	3,540,411	15,417	1,460,541	779,099	2,107,095	740,368	156,541	47,519,184	223,458	2,711,310	70,752,418
Premium Receivables	556,425	621,231	0	42,152	532,512	512,063	2,504,884	0	0	0	1,241,055	6,010,323
Total Current Assets	24,171,536	40,501,702	50,792	2,478,548	2,503,723	4,850,493	5,901,210	184,363	58,340,023	2,968,610	5,949,946	147,900,947
Total Liquid Assets	12,116,117	36,340,060	35,375	975,855	1,192,112	2,231,334	2,655,957	27,822	10,820,839	2,745,153	1,997,581	71,138,205
Total Assets	167,485,362	869,448,402	23,520,795	19,078,670	115,185,351	35,949,508	56,097,036	23,477,652	620,857,323	179,211,535	149,603,859	2,259,915,492

[illegible]

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE HALF YEAR ENDED 30 JUNE 2023 (ZWL\$000)						
	First Mutual Reinsurance	Emeritus Reinsurance	FBC Reinsurance	ZEP Re-Insurance	Total	
Gross Written Premiums	325,920	4,610,848	3,797,519	404,755	9,139,042	
Reinsurance Premiums	24,458	577,848	723,865	0	1,326,172	
Net Written Premiums	301,462	4,032,999	3,073,654	404,755	7,812,870	
Increase/(Decrease) in UPR	0	0	0	7,519	7,519	
Net Earned Premiums	301,462	4,032,999	3,073,654	397,236	7,805,351	
Provision for Future Claims	0	469,042	0	0	469,042	
Outstanding claims	0	0	0	-1,317	-1,317	
Paid Claims	8,046	689,670	566,638	171,014	1,435,368	
Net Claims	8,046	1,158,712	566,638	169,697	1,903,094	
Net Commissions and Fees	10,754	991,028	519,268	93,259	1,614,309	
Technical Result	282,662	1,883,259	1,987,748	134,280	4,287,948	
Operating/Administration Expenses	5,249	1,744,084	0	5,589	1,754,923	
Underwriting Profit/(Loss)	277,412	139,174	1,987,748	128,691	2,533,026	
Management expenses	-35,921	0	173,205	0	137,284	
Investment Income	9,426	232,064	0	1,762	243,252	
Unrealised Gains/Losses	2,766,694	0	0	18,759	2,785,454	
Other expenses	0	0	0	0	0	
Other Income	191,155	1,827,093	877,553	0	2,895,802	
Profit Before Interest and Tax	3,280,609	2,198,332	2,692,095	149,212	8,320,249	
Taxation	0	0	666,294	0	666,294	
Interest Payments	0	0	0	0	0	
Profit After Tax and Interest	3,280,609	2,198,332	2,025,802	149,212	7,653,955	
Other Comprehensive income	0	0	0	0	0	
Transfer to policyholders funds	0	0	0	0	0	
Retained Income	3,280,609	2,198,332	2,025,802	149,212	7,653,955	

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 JUNE 2023 (ZWL\$000)						
ASSETS	First Mutual Reinsurance	Emeritus Reinsurance	FBC Reinsurance	ZEP Re-insurance	Total	
Non-Current Assets						
Property and Equipment	979	130	0	0	1,109	
Investment Property	0	21,584,228	0	0	21,584,228	
Intangible Assets	0	0	0	0	0	
Investments in Securities	3,087,528	0	2,851,548	1,514,125	7,453,201	
Intercompany Investments	0	0	0	0	0	
Other Non-Current Assets	0	639,233	0	0	639,233	
Total Non-Current Assets	3,088,506	22,223,591	2,851,548	1,514,125	29,677,770	
Technical Assets						
Reinsurers' Share of O/S Claims	0	0	0	0	0	
Deferred Acquisition Cost (DAC)	0	0	0	202,839	202,839	
Total Technical Assets	0	0	0	202,839	202,839	
Current Assets						
Cash & cash equivalents	258,598	54,179	0	0	312,778	
Short Term Investments	188,518	15,000	0	0	203,518	
Inventory and Other Assets	104,520	2,973,234	654,415	9,323,073	13,055,242	
Accounts Receivables	77,197	0	0	0	77,197	
Total Current Assets	628,833	3,042,413	654,415	9,323,073	13,648,735	
Total Liquid Assets	447,116	69,179	0	0	516,296	
Total Assets	3,717,339	25,266,004	3,505,964	11,040,037	43,529,344	
Liabilities						
Deferred Tax Liabilities	0	0	0	0	0	
Future policyholders benefits	0	0	0	0	0	
Short term loans	0	0	0	0	0	
Long term Loans	0	0	0	0	0	
Current Tax provisions	0	0	0	0	0	

Gross Outstanding Claims	23,026	0	0	22,603	45,630
IBNR	6,384	248,523	0	1,113,808	1,368,716
UPR	0	0	0	812,538	812,538
Other Technical Provisions	0	0	0	0	0
Life Fund	0	648,465	0	0	648,465
Creditors	51,876	37,087	0	0	88,962
Amount due to related companies	-62,834	287,077	0	0	224,243
Other Liabilities	0	0	468,256	0	468,256
Total Technical Liabilities/Reserves	29,411	896,988	0	1,948,949	2,875,348
Current Liabilities	-10,959	324,164	468,256	0	781,461
Total Liabilities	18,452	1,221,152	468,256	1,948,949	3,656,809
Share Capital	1	488	0	0	488
Share Premium	2,288	6,281	0	0	8,569
Revaluation & Other Reserves	0	0	0	8,700,300	8,700,300
Minority Interest	0	0	0	0	0
Retained Profit	3,696,598	24,038,083	3,037,708	390,788	31,163,177
Shareholder's Equity	3,698,887	24,044,852	3,037,708	9,091,088	39,872,535
TOTAL EQUITY & LIABILITIES	3,717,339	25,266,004	3,505,964	11,040,037	43,529,344



Life Assurance Sector Report

for the Half-Year Ended 30 June 2023